SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 1

Marketing Foundations: Creating Customer Value & Company Strategy

Marketing isn't just selling or advertising. It's creating customer value and relationships to capture value in return. Part two links marketing to company strategy: mission, portfolio, value chain, STP and the marketing mix. (Kotler & Armstrong ch. 1–2.)

Material

1 What is marketing?

Marketing creates customer value and strong relationships to capture value in return. Marketing management chooses target markets and gets, keeps and grows customers through superior value — answering: **whom to serve** and **how to serve them** (value proposition).

Understand market → Value-driven strategy → Marketing program → Profitable relationships → Capture value

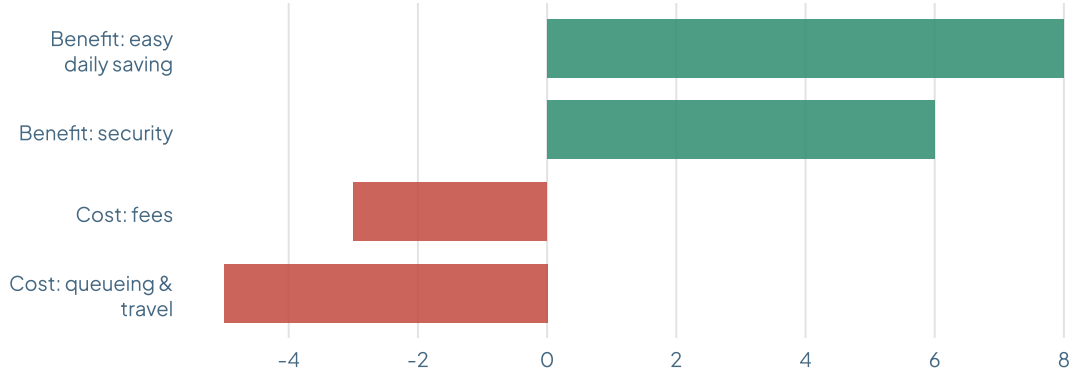
2 The 5-step marketing process: create value, then capture it

Deep dive

1. Understand the market.
2. Design a customer-driven strategy.
3. Build an integrated programme.
4. Build profitable relationships.
5. Capture value back.

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Customer-perceived value = Total benefits - Total costs
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Example: value of a savings product for market traders



Agents and mobile deposits remove the biggest cost.

3 Needs, wants, demands

Needs (states of felt deprivation — physical, social, individual), **wants** (needs shaped by culture and personality), **demands** (wants backed by buying power). Look for the need behind the want — key for low-income markets (Unilever Brazil).

4 Five marketing management orientations

Concept	Belief
Production	Available, affordable products; efficiency.
Product	Best quality and features.
Selling	Push what we make via heavy promotion (inside-out).
Marketing	Know target needs and satisfy them better than rivals (outside-in).
Societal	Also consider long-term consumer and societal well-being.

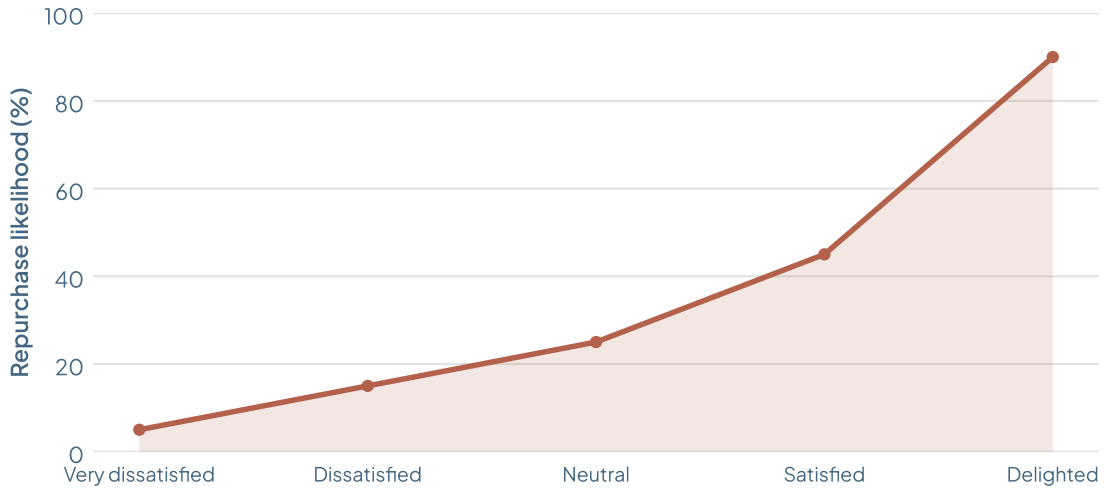
Customers often don't know what they want or what's possible — understand unstated needs.

5 Satisfaction and loyalty: why 'satisfied' isn't enough

Deep dive

Loyalty jumps only when customers are delighted, not merely satisfied.

Satisfaction vs loyalty (conceptual)



↕ Top: long-term loyalty · bottom: short-term

Barnacles	True friends
Strangers	Butterflies

↔ Left: low profit potential · right: high

6 Value, satisfaction and customer relationships

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Customer-perceived value = Perceived benefits - Perceived costs
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Satisfaction = performance vs expectations — manage expectations carefully. Today brands combine mass, online, mobile and social media to become part

of consumers' conversations. Capture value via loyalty, share of customer, lifetime value and customer equity.

7 Marketing's role in company strategy

Strategic planning fits goals and capabilities to changing opportunities: (1) a **market-oriented mission** (Nike inspires athletes, not "sells shoes"); (2) business → marketing objectives; (3) **portfolio** analysis (BCG: stars, cash cows, question marks, dogs; Ansoff growth: penetration, market development, product development, diversification); (4) partnering — value chain inside, value delivery network outside.

8 Two corporate strategy tools: Ansoff and BCG Deep dive

Ansoff

↕ Top: existing markets · bottom: new

Market penetration	Product development
Market development	Diversification

↔ Left: existing products · right: new

BCG

↕ Top: high growth · bottom: low

Star	Question mark
Cash cow	Dog

↔ Left: high relative share · right: low

9 Marketing strategy: STP and the marketing mix

STP: segmentation → targeting → differentiation & positioning. **4P ↔ 4C**: product/customer solution, price/customer cost, place/convenience, promotion/communication; services add People, Process, Physical evidence (7P). Manage via analysis (SWOT), planning (marketing plan contents), implementation and control; measure **ROMI**.

10 Customer lifetime value and customer equity: putting a number on one customer

Kotler stresses that marketing's goal is not just "selling once" but building profitable relationships. For that we need to know **how much one customer is worth over the whole time they stay** — customer lifetime value (CLV).

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CLV ≈ (Margin per transaction × Frequency per year × Years retained) - Cost of acquiring & serving the customer
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Example: a coffee-shop customer

Average spend IDR 35,000, contribution margin 60% → IDR 21,000 per visit. Visits twice a week = about 100 visits a year → IDR 2.1 million margin a year. If they stay 4 years → about IDR 8.4 million (before discounting). So giving a free IDR 35,000 coffee to save an unhappy customer is a *very cheap* decision. Discounted at 10% a year it is about IDR 6.7 million — still far above the cost of the gesture.

Customer equity = the sum of the CLVs of all current and potential customers. It is a better performance measure than market share, because market share looks backward while customer equity looks forward.

Kotler groups customers by **profitability** and **projected loyalty**:

↕ Profit potential: high ↑

Butterflies Profitable but not loyal. Enjoy them while they are here; do not spend to "lock them in".	**True friends** Profitable and loyal. Nurture, reward and turn them into brand advocates.

Strangers
Not profitable, not loyal. Do not invest in them.

Barnacles
Loyal but not profitable. Try to raise their value (upsell, trim costly service); if that fails, let them go.

↔ Projected loyalty: low → high

Capturing value in return: the outcomes of creating customer value are loyalty and retention, share of customer (share of wallet — the portion of category spending that comes to us) and customer equity. Customers who are merely "satisfied" switch easily; *delighted* customers are far more likely to rebuy and recommend.

11 From company strategy to the marketing plan

Kotler pictures strategic planning as a ladder: **mission → objectives → business portfolio → functional strategies (including marketing)**. Marketing sits under company strategy, but it also feeds upward because marketing is closest to the customer.

1. A market-oriented mission Not "we sell detergent" but "we help families feel clean and respected". A good mission is customer-oriented, realistic, specific, fits the market environment and motivates.

2. Measurable objectives The mission is turned into business and marketing objectives, for example "raise penetration outside Java from 40% to 55% in 3 years".

3. Portfolio Decide which businesses to build, hold, harvest or divest (BCG), and the growth direction (Ansoff).

4. Functional plans Marketing works with other departments in the *value chain* (R&D, operations, finance, HR) and with partners in the *value delivery network* (suppliers, distributors, retailers).

Contents of a marketing plan (Kotler): executive summary → current marketing situation → threats & opportunities → objectives & issues → marketing strategy (target, positioning, 4Ps) → action programmes → budget → controls.

Measuring marketing ROI: marketing ROI = (return from marketing investment – cost of marketing investment) ÷ cost of marketing investment. For example, an IDR 500 million campaign that generates IDR 800 million of extra contribution margin gives ROI = (800 – 500) ÷ 500 = **60%**. Other measures used: brand awareness, market share, retention and CLV.

Links to other weeks

The "current situation" and "threats & opportunities" steps are covered in Week 2 (5C, PESTEL, SWOT). Targeting and positioning in Week 6. Products and services (part of the 4Ps/7Ps) in Weeks 7–8.

Key takeaways

1. Marketing creates value and relationships to capture value.
2. Core questions: whom to serve and with what value proposition.
3. Needs → wants → demands (wants + buying power).
4. Marketing (outside-in) vs selling (inside-out); societal concept adds long-term well-being.
5. Perceived value = benefits – costs; satisfaction = performance vs expectations.
6. Market-oriented missions; BCG for portfolio, Ansoff for growth.
7. STP + 4P/4C/7P; measure with ROMI.

Case studies

Case & worked answers

Quick application: dissecting mission and marketing mix

Take a state bank: a product-oriented mission ("provide banking products") vs a market-oriented one ("help every family and SME manage and grow money")

— the latter reveals new opportunities. Applying 4P → 4C to savings for market traders: easy daily saving, total cost including time, agents and mobile deposits, peer testimonials. The same logic returns in the Unilever Brazil case.

Practice questions

Try answering first. The answer key is below each question.

1. Customer-perceived value is…

A. The price
B. Benefits minus costs as the customer sees them
C. Production cost
D. Ad volume

Answer: B. Costs include time, effort and risk.

2. Selling existing products in new regions is…

A. Penetration
B. Product development
C. Market development
D. Diversification

Answer: C. Existing product, new market.

3. High share in a mature market is a…

A. Star
B. Question mark
C. Cash cow
D. Dog

Answer: C. Cash cow.

4. The marketing concept differs from the selling concept because it…

A. Pushes volume
B. Starts from customer needs
C. Focuses on production
D. Avoids research

Answer: B. Outside-in vs inside-out.

5. Profitable but disloyal customers are…

A. True friends
B. Butterflies
C. Barnacles
D. Strangers

Answer: B. Butterflies.

Sources

- -P3MD- Week 1–MK3.pdf
- Kotler & Armstrong, Principles of Marketing — bab 1–2